Economics
March 11, 2026

U.S. Economic Outlook: March 2026

Times Like These

Monthly

Summary

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Summary

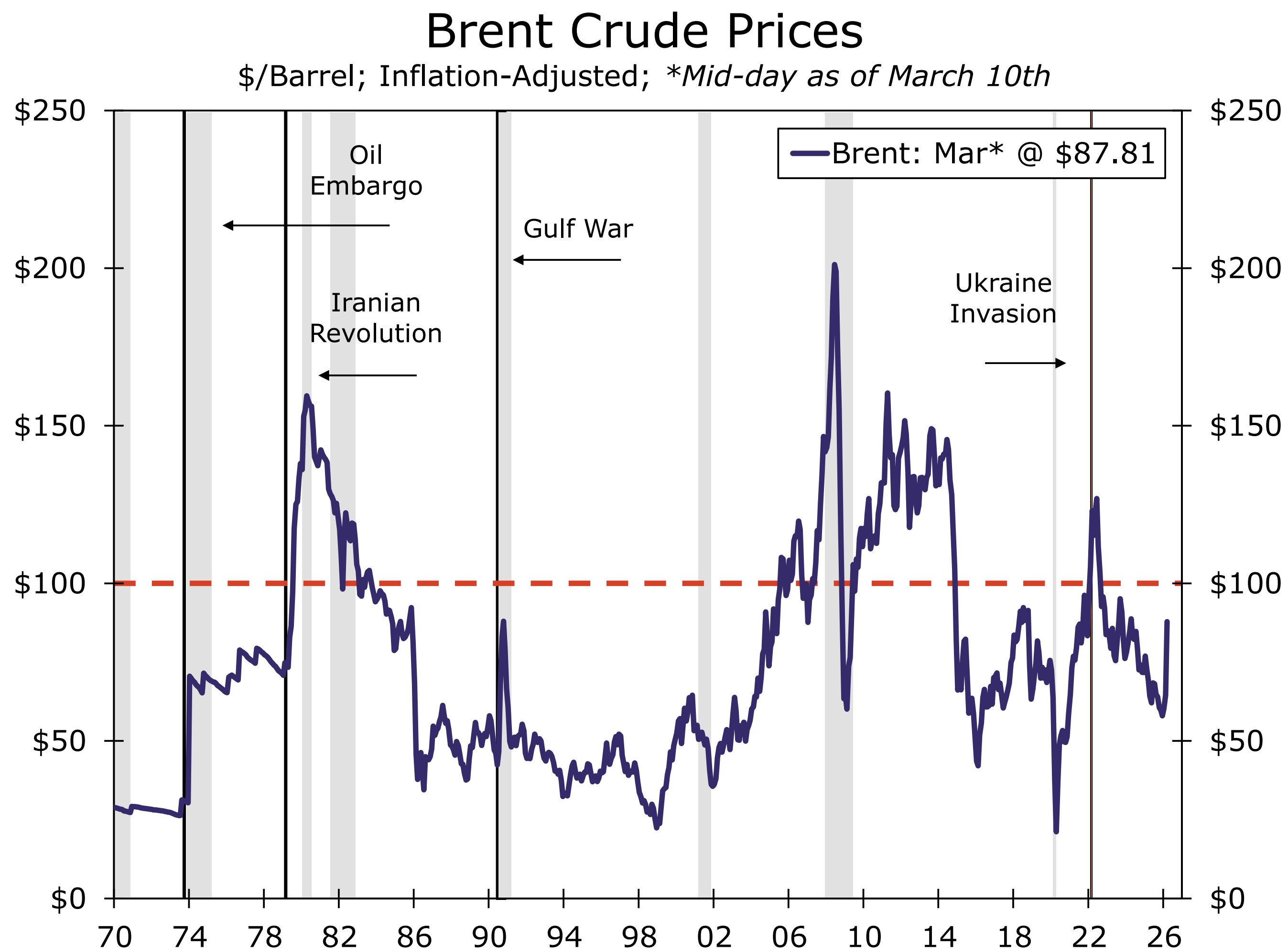
- Oil prices have risen sharply since February, creating a renewed headwind for real income growth and raising downside risks to consumer spending at a time when the labor market is already soft. While higher energy costs complicate the outlook, we do not believe current conditions are sufficient on their own to derail the expansion.
- Employment growth has stalled over the past year and real personal income excluding transfers is already under pressure from slowing wage growth and persistent inflation. A sustained increase in gasoline prices would mechanically push inflation higher in the near term and could lead to outright declines in real income over the next few months.
- That said, the sensitivity of aggregate consumer spending to energy shocks has diminished over time. Services account for a larger share of total consumption, demographics are cushioning aggregate demand and fiscal support is providing an offset to weaker labor income.
- Our simulations suggest that a moderate oil price shock would slow, but not reverse, real PCE growth. It would take a larger and more persistent increase in oil prices to generate the kind of broad based spending contraction typically associated with recession.
- We have only incrementally changed our baseline growth forecast at this time. However, the balance of risks has shifted to the downside, particularly if higher energy prices prove persistent or spill over into broader financial conditions.
- While recession risks have risen, we continue to see enough sources of support to growth for the expansion to continue over the next year.
- Despite recent market volatility, our U.S. rates outlook is unchanged: still two 25 bps cuts this year and a 4.25% year-end 10-year Treasury yield, with risks two-sided (later/less easing vs. deeper cuts only if recession tail risks materialize).

I'm a One-Way Motorway: Higher Oil Prices Add Friction to an Already Slowing Economy

The recent surge in oil prices introduces fresh risk to an already complicated economic environment (Figure 1). 2026 was shaping up to be a decent year for economic growth despite the conflicting challenges of sluggish labor market momentum and easing, but still elevated, inflation. The jump in oil prices since our February forecast update introduces downside risk, and if sustained, will act as a tax on household purchasing power by pushing up gasoline prices and other energy related costs. Whether that price spike is sustained and at what level oil prices ultimately stabilize will determine the magnitude of the headwinds for the consumer and broader economy. For now, our baseline expectation is that oil prices remain elevated, in the low $90/barrel range in Q2, before trending back toward the mid- to high- $70s by year-end. That is consistent with only a measured hit to real income and consumer spending but not the sort of thing that alone would derail the expansion.

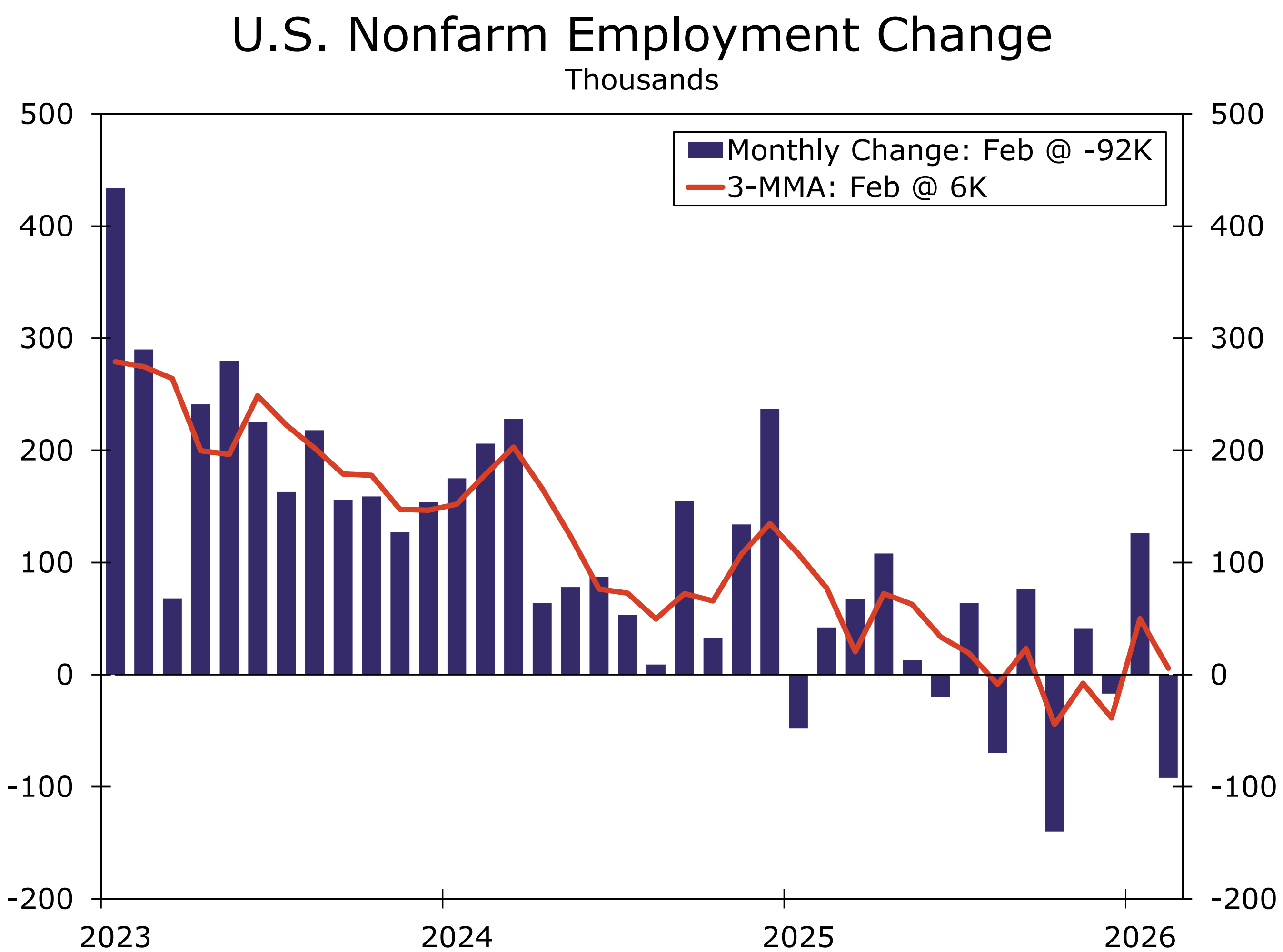
This development comes at an inopportune time. Independent of the oil price spike, employment growth has effectively stalled over the past year, with payroll levels treading water amid weak hiring outside a handful of industries (Figure 2). At the same time, real personal income excluding transfer payments—a metric closely watched by the National Bureau of Economic Research recession dating committee—has lost momentum as wage growth has slowed and inflation has remained sticky. A renewed rise in energy prices would likely push inflation back above 3% in the near term, mechanically eroding real income and placing additional strain on households, particularly the lower- and middle-income households that tend to allocate a greater share of spending to fuel costs.

Figure 1



Source: Bloomberg Finance L.P. and Wells Fargo Economics

Figure 2



Source: U.S. Department of Labor and Wells Fargo Economics

I'm a Little Divided

These middle- and lower-income households were already under pressure, but help was on the way. We had previously expected fiscal relief from the One Big Beautiful Bill Act to provide a meaningful offset to the shortcomings of a crummy labor market by boosting after-tax cash flow and supporting consumer spending this year. A sharp and sustained increase in gasoline prices can eat into that relief and reduce the net benefit to household purchasing power.

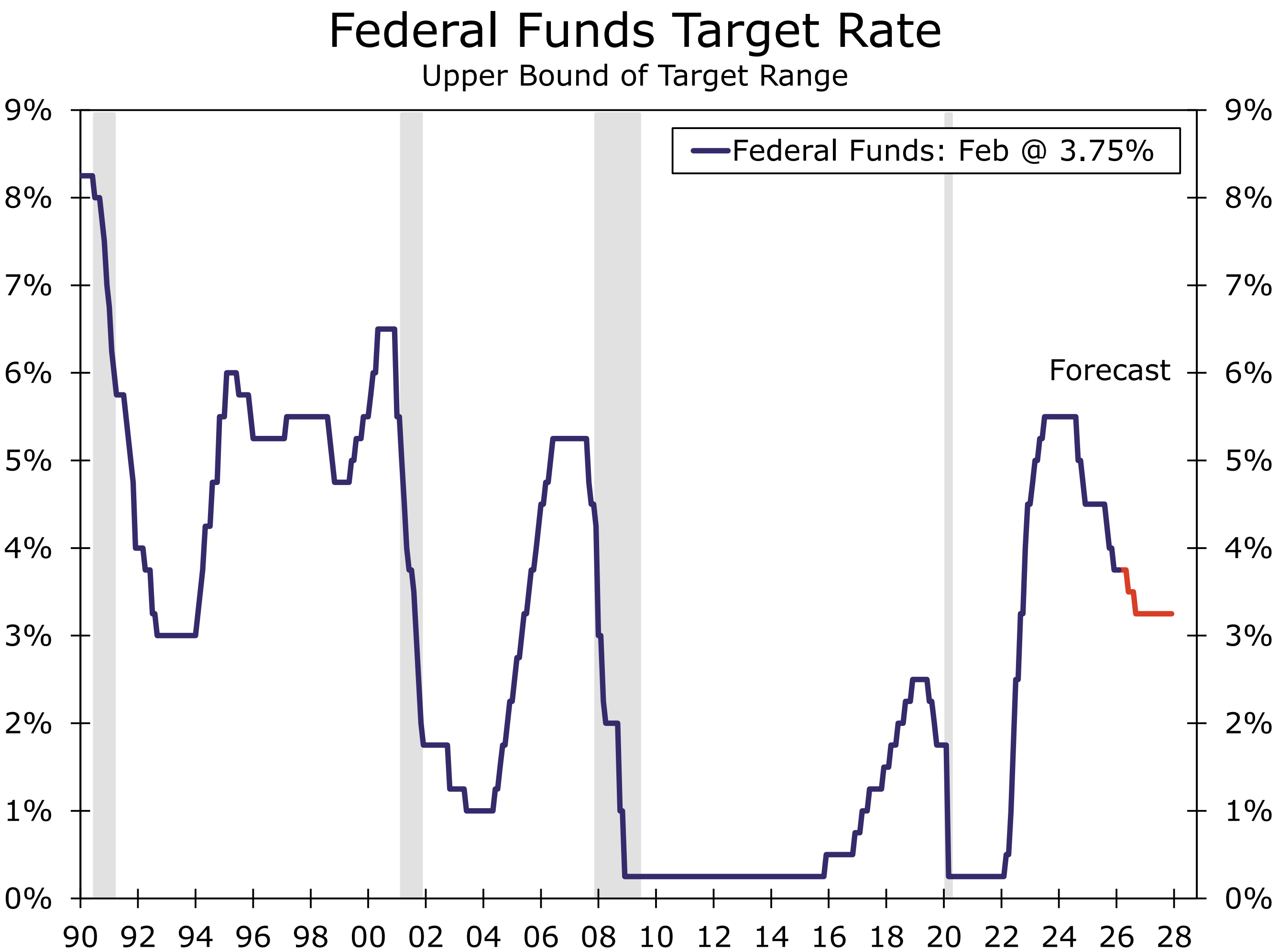
Still, history suggests that oil price shocks do not translate into recessions as mechanically as they once did. The structure of consumer spending has changed in important ways. Much as consumer confidence may be dented by prices at the pump, services now account for more than half of total consumption, with large shares devoted to relatively stable, non-discretionary categories such as housing and healthcare. In addition, spending has become increasingly concentrated among older and higher-income households, whose consumption is less directly tied to near term labor market conditions. These dynamics help explain why broader measures of consumption have remained more resilient than traditional retail indicators would suggest.

I'm a Road that Drives Away, Then Follows You Back Home

Our analysis indicates that a moderate oil price shock would slow the pace of real PCE growth, but it would be unlikely on its own to produce the outright contraction in consumer spending typically associated with recession. The risk, however, is asymmetric. If higher gasoline prices were to meaningfully depress consumer sentiment or trigger a broader tightening in financial conditions—particularly via equity markets—the drag on activity would be more pronounced.

For policymakers at the Federal Reserve, it's times like these that justify the mantra of "data-dependence." On face value, the Fed is likely to look through a temporary energy-driven increase in inflation, particularly if labor market conditions remain mostly benign. Tighter monetary policy is not a tool well-suited to resolve an inflation shock driven by higher oil prices. However, inflation expectations are highly sensitive to energy prices, and sustained upward pressure on inflation could narrow the margin for additional easing and delay future rate cuts. For now, we continue to expect policy to move gradually toward neutral. Our base case forecast remains two 25 bps rate cuts at the June and September FOMC meetings (Figure 3). That said, the longer oil prices remain elevated, the more difficult that may be to realize.

Figure 3



Source: Federal Reserve Board and Wells Fargo Economics

U.S. Forecast Table

Wells Fargo U.S. Economic Forecast

	Actual								Forecast								Actual		Forecast	
	2024				2025				2026				2027				2024	2025	2026	2027
	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q				
Real Gross Domestic Product (a)	0.8	3.6	3.3	1.8	-0.6	3.8	4.4	1.4	3.4	1.3	1.9	2.3	2.2	2.5	2.4	2.5	2.8	2.2	2.5	2.2
Personal Consumption	1.7	3.9	4.0	3.9	0.6	2.5	3.5	2.4	1.9	1.7	1.9	2.2	1.8	2.2	2.3	2.1	2.9	2.7	2.2	2.1
Business Fixed Investment	1.5	2.5	3.5	-3.7	9.5	7.3	3.2	3.7	6.0	6.1	5.2	3.6	5.1	6.1	4.6	5.1	2.9	4.2	5.0	5.0
Equipment	0.5	8.9	8.2	-4.3	21.4	8.5	5.3	3.2	10.5	8.4	5.8	2.9	4.5	6.0	4.9	4.0	3.5	8.2	6.9	4.9
Intellectual Property Products	6.7	0.7	2.6	-0.6	6.5	15.0	5.6	7.4	5.2	5.3	5.1	4.4	6.4	7.1	4.5	6.4	3.5	5.8	6.2	5.7
Structures	-5.0	-3.9	-2.2	-8.1	-3.1	-7.5	-5.0	-2.4	-1.7	2.7	4.3	3.1	2.9	3.9	4.0	4.2	1.1	-5.0	-0.8	3.5
Residential Investment	8.2	-2.0	-4.8	4.3	-1.0	-5.1	-7.1	-1.5	-4.2	-3.5	1.5	2.9	3.7	3.9	4.2	4.4	3.2	-2.2	-2.9	3.0
Government Purchases	2.3	3.3	5.4	3.3	-1.0	-0.1	2.2	-5.1	11.4	-1.6	0.6	0.8	1.2	1.0	1.1	1.1	3.8	1.2	1.8	0.8
Net Exports	-964.1	-1032.2	-1064.9	-1069.0	-1380.7	-1058.0	-955.5	-949.6	-1007.8	-1018.7	-1029.7	-1049.4	-1068.3	-1086.7	-1105.0	-1120.0	-1032.6	-1086.0	-1026.4	-1095.0
Pct. Point Contribution to GDP	-0.4	-1.0	-0.4	-0.1	-4.7	4.8	1.6	0.1	-1.0	-0.2	-0.2	-0.3	-0.3	-0.3	-0.3	-0.2	-0.5	-0.2	0.2	-0.3
Inventory Change	12.4	75.1	69.4	17.1	172.0	-18.3	-23.9	-13.6	16.3	-1.3	-10.7	8.2	16.9	17.6	22.6	29.5	43.5	29.0	3.1	21.6
Pct. Point Contribution to GDP	-0.8	1.2	-0.1	-0.9	2.6	-3.4	-0.1	0.2	0.5	-0.3	-0.2	0.3	0.1	0.0	0.1	0.1	0.0	-0.1	-0.1	0.1
Nominal GDP (a)	4.0	6.3	5.1	4.3	2.9	6.0	8.3	5.1	7.2	4.9	4.1	4.3	4.4	4.7	4.6	4.6	5.3	5.1	5.9	4.5
Real Final Sales	1.7	2.4	3.5	2.8	-3.2	7.5	4.5	1.2	2.9	1.6	2.1	2.0	2.1	2.5	2.3	2.4	2.8	2.3	2.8	2.1
Retail Sales (b)	1.8	2.5	2.3	3.9	4.5	4.3	4.4	2.9	2.8	2.8	2.0	2.4	2.6	2.3	2.0	1.6	2.6	4.0	2.5	2.1
Inflation Indicators (b)																				
PCE Deflator	2.8	2.7	2.4	2.6	2.6	2.4	2.7	2.8	2.9	3.2	3.0	2.8	2.4	2.1	2.1	2.1	2.6	2.6	3.0	2.2
"Core" PCE Deflator	3.1	2.8	2.8	3.0	2.8	2.7	2.9	2.9	2.9	2.8	2.7	2.6	2.3	2.3	2.3	2.3	2.9	2.8	2.7	2.3
Consumer Price Index	3.2	3.2	2.7	2.7	2.7	2.5	2.9	2.7	2.6	3.4	3.1	3.0	2.6	2.0	2.0	2.1	3.0	2.7	3.1	2.2
"Core" Consumer Price Index	3.8	3.4	3.3	3.3	3.1	2.8	3.1	2.6	2.5	2.7	2.4	2.5	2.4	2.3	2.3	2.3	3.4	2.9	2.5	2.3
Producer Price Index (Final Demand)	1.5	2.6	2.2	3.1	3.4	2.5	3.0	2.9	3.2	4.4	3.8	3.5	2.7	2.1	2.1	2.2	2.4	3.0	3.7	2.3
Employment Cost Index	4.2	4.1	3.9	3.8	3.6	3.6	3.5	3.4	3.4	3.3	3.3	3.4	3.4	3.5	3.5	3.6	4.0	3.5	3.4	3.5
Real Disposable Income (a)	4.2	2.4	1.2	2.0	2.3	1.8	0.0	0.1	5.4	0.8	2.2	2.7	2.3	2.1	1.9	2.3	2.9	1.6	2.0	2.2
Nominal Personal Income (a)	7.6	5.4	3.6	4.9	6.4	4.3	3.3	3.5	4.9	4.4	4.3	4.7	5.1	4.3	4.0	4.4	5.6	4.7	4.2	4.5
Industrial Production (a)	-2.6	2.7	-2.3	-1.5	4.2	1.8	2.2	-1.3	4.1	2.2	1.9	1.4	1.5	1.0	1.1	0.5	-0.7	1.2	1.9	1.4
Capacity Utilization	76.3	76.6	76.0	75.5	76.0	76.1	76.2	75.7	76.3	76.9	77.3	77.7	78.1	78.4	78.7	78.9	76.1	76.0	77.0	78.5
Federal Budget Balance (c)	-555	-209	-544	-711	-596	-30	-438	-602	-663	-233	-502	-596	-721	-169	-464	-649	-1817	-1775	-2000	-1950
Trade Weighted Dollar Index (d)	115.7	117.2	113.1	119.7	117.5	111.1	110.8	111.5	111.1	110.2	110.0	111.5	112.6	113.5	115.3	116.0	116.3	113.9	110.7	114.3
Nonfarm Payroll Change (e)	203	76	72	135	20	34	23	-39	22	31	48	63	63	60	58	53	122	10	41	58
Unemployment Rate	3.8	4.0	4.2	4.1	4.1	4.2	4.3	4.5	4.4	4.5	4.5	4.4	4.4	4.4	4.3	4.3	4.0	4.3	4.4	4.4
Housing Starts (f)	1.42	1.34	1.34	1.39	1.40	1.35	1.35	1.33	1.33	1.33	1.33	1.34	1.38	1.38	1.38	1.38	1.37	1.36	1.33	1.38
Light Vehicle Sales (g)	15.5	15.7	15.7	16.4	16.4	16.2	16.6	15.7	15.2	15.1	15.2	15.5	16.4	16.6	16.7	16.9	15.9	16.2	15.2	16.7
Crude Oil - Brent - Front Contract (h)	81.2	84.4	78.0	73.6	74.3	65.9	67.5	62.7	75.3	92.3	84.3	76.3	73.5	71.8	71.0	70.0	79.3	67.6	82.1	71.6
Quarter-End Interest Rates (i)																				
Federal Funds Target Rate (j)	5.50	5.50	5.00	4.50	4.50	4.50	4.25	3.75	3.75	3.50	3.25	3.25	3.25	3.25	3.25	3.25	5.27	4.33	3.44	3.25
Secured Overnight Financing Rate	5.34	5.33	4.96	4.49	4.41	4.45	4.24	3.87	3.65	3.40	3.15	3.15	3.15	3.15	3.15	3.15	5.15	4.24	3.34	3.15
Prime Rate	8.50	8.50	8.00	7.50	7.50	7.50	7.25	6.75	6.75	6.50	6.25	6.25	6.25	6.25	6.25	6.25	8.27	7.33	6.44	6.25
Conventional Mortgage Rate	6.82	6.92	6.18	6.72	6.65	6.82	6.35	6.20	6.10	6.15	6.15	6.15	6.15	6.20	6.20	6.20	6.72	6.60	6.14	6.19
3 Month Bill	5.46	5.48	4.73	4.37	4.32	4.41	4.02	3.67	3.60	3.35	3.15	3.15	3.15	3.15	3.15	3.15	5.18	4.21	3.31	3.15
6 Month Bill	5.38	5.33	4.38	4.24	4.23	4.29	3.83	3.59	3.55	3.30	3.20	3.20	3.20	3.20	3.20	3.25	5.00	4.09	3.31	3.21
1 Year Bill	5.03	5.09	3.98	4.16	4.03	3.96	3.68	3.48	3.45	3.35	3.30	3.30	3.30	3.30	3.35	3.40	4.69	3.91	3.35	3.34
2 Year Note	4.59	4.71	3.66	4.25	3.89	3.72	3.60	3.47	3.50	3.40	3.40	3.40	3.40	3.45	3.50	3.55	4.37	3.81	3.43	3.48
5 Year Note	4.21	4.33	3.58	4.38	3.96	3.79	3.74	3.73	3.65	3.65	3.65	3.70	3.70	3.75	3.80	3.80	4.13	3.92	3.66	3.76
10 Year Note	4.20	4.36	3.81	4.58	4.23	4.24	4.16	4.18	4.10	4.15	4.20	4.25	4.25	4.30	4.30	4.30	4.21	4.29	4.18	4.29
30 Year Bond	4.34	4.51	4.14	4.78	4.59	4.78	4.73	4.84	4.75	4.80	4.85	4.90	4.95	5.00	5.00	5.00	4.41	4.78	4.83	4.99

Forecast as of: March 11, 2026

Notes: (a) Compound Annual Growth Rate Quarter-over-Quarter
(b) Year-over-Year Percentage Change
(c) Quarterly Sum - Billions USD; Annual Data Represents FisBZI Year
(d) Federal Reserve Advanced Foreign Economies Index, 2006=100 - Quarter End
(e) Average Monthly Change
(f) Quarterly Data - Average Monthly SAAR; Annual Data - Actual Total Houses Started
(g) Quarterly Data - Average Monthly SAAR; Annual Data - Actual Total Vehicles Sold
(h) Quarterly Average of Daily Close
(i) Quarterly Data - Period End; Annual Data - Annual Averages
(j) Upper Bound of the Federal Funds Target Range

Source: U.S. Department of Commerce, U.S. Department of Labor, IHS Markit, Federal Reserve Board and Wells Fargo Economics

Forecast Delta Table

Source: U.S. Department of Commerce, U.S. Department of Labor, IHS Markit, Federal Reserve Board and Wells Fargo Economics

Personal Consumption Expenditures (PCE)

- We've reduced our forecast for consumer spending this year amid higher oil prices and expect real PCE to grow at an average annualized clip of 2.2% (down from 2.4% previously). Think of higher oil prices like a tax on consumer spending.

Just like taxes, higher gas prices too weigh on real income growth, though we do not expect a collapse in aggregate consumption under our base case. Households devote a relatively small share of their budgets directly to gasoline and energy goods, but these expenditures are difficult to reduce when prices rise. Moreover, gasoline prices carry an out-sized psychological impact, shaping perceptions of inflation and purchasing power. Our real disposable income forecast is now lower in this update reflecting our higher oil price assumptions feeding through to higher consumer inflation. As a result, we've reduced our annual average growth rate for real PCE by 0.2 percentage points and the level reduction at year-end is equivalent to just about half of the previously anticipated boost from the One Big Beautiful Bill Act.

Investment: Equipment, Intellectual Property Products and Inventories

- We have not altered our outlook for business investment, which continues to be supported by structural forces largely independent of energy costs.

Capital spending remains anchored by the build out of generative AI capacity, a dynamic that appears relatively insensitive to near-term fluctuations in oil prices. A sustained increase in energy prices could also support investment in U.S. energy production, though those gains would likely materialize more slowly than the near-term drag on consumers. On balance, we continue to expect business investment to act as a stabilizing force for growth this year.

Source: U.S. Department of Commerce and Wells Fargo Economics

Source: U.S. Department of Commerce and Wells Fargo Economics

Investment: Residential

- We have not made any major adjustments to the outlook for residential investment.

Adverse affordability remains a significant limitation for the residential sector. Although slightly lower mortgage rates have led to a modest improvement in home sales, our expectation for financing costs to remain elevated (averaging between 6.1% and 6.2% over the forecast horizon) means home buying activity will likely continue to run at a sluggish rate. In addition to lackluster demand, new single-family construction appears set to downshift as builders realign high inventory levels with sales. Lower financing costs and firming apartment market conditions should promote a modestly stronger pace of new multifamily construction. Reduced interest rates, improved turnover, positive home price appreciation and elevated homeowner equity levels should support growth in home improvement outlays, with labor and building material inflation remaining as limitations.

Investment: Nonresidential Structures

- We have boosted our near-term forecast for structures investment based on the expectation for higher oil prices to lead to a pick-up in energy investment.

Private nonresidential construction spending weakened at the end of 2025, continuing a downtrend largely brought on by higher interest rates and less-restrictive monetary policy should help bring a turnaround over the course of 2026. Meanwhile, select "mega-project" categories such as data center, power and communication have outperformed and should continue to do as AI investment continues to expand at a strong rate. The major catalyst for our stronger structures investment outlook, however, is our anticipation for a spike in oil prices well above drilling break-even levels to lead to a temporary upshift in new energy-related investment.

Source: U.S. Department of Commerce and Wells Fargo Economics

Source: U.S. Department of Commerce, U.S. Department of Energy and Wells Fargo Economics

Labor Market

- A weaker pace of hiring and a rising unemployment rate reinforce the labor market’s fragility. We trimmed our payroll outlook and modestly marked up our unemployment rate forecast this month.

The labor market remains in a delicate position. Payrolls unexpectedly declined in February and prior months' data were again revised meaningfully lower. While strikes and poor weather played a role in February, the ease with which these idiosyncratic factors tipped job growth into negative territory underscores its weak underlying momentum. Renewed uncertainty amid the conflict in the Middle East and optimism around the productivity-enhancing potential of AI are poised to keep demand for new workers tepid. We now expect nonfarm employment to rise at a roughly 40K monthly average pace this year, down from about 70K previously. The more modest hiring pace is likely to push the unemployment rate up to 4.5% in Q2 and Q3, remaining uncomfortably above most Fed officials' definition of "full employment."

Inflation

- The energy price shock will lift headline inflation in the near term. We now expect the PCE deflator to rise 2.8% on a Q4-over-Q4 basis, up from 2.5% previously.

Higher oil and gasoline prices tied to the conflict in the Middle East will lift headline inflation in the near term. We revised up our headline PCE forecast and now look for inflation to peak at 3.2% in Q2. Food inflation should continue to moderate despite the energy shock, as food-related commodity prices have been easing for months. More broadly, the impulse to underlying inflation should be limited. Crude oil prices are expected to crest around mid-year and gradually retreat in the second half, which should restrain pass-through to core goods and services. We do not expect the IEEPA refunds to materially change the path of core goods inflation either, as firms are still working through tariff-related costs incurred last year. Even with still-solid goods inflation, softer shelter cost growth and broadening consumer price fatigue are likely to contain core inflation in the months ahead.

Source: U.S. Department of Labor and Wells Fargo Economics

Source: U.S. Department of Commerce and Wells Fargo Economics

Fiscal Policy

- The near-term U.S. fiscal outlook has deteriorated somewhat since our previous monthly forecast update. We now project FY 2026 and 2027 budget deficits of $2.00 trillion and $1.95 trillion, respectively, up from $1.85 trillion and $1.90 trillion in our February forecast.

A few different factors have led us to revise our budget deficit forecasts wider. First, the Supreme Court overruling President Trump's authority to use IEEPA to impose broad-based tariffs threatens the tariff revenue outlook. The Trump administration's move to reimpose tariffs via Section 122 authority should replace most, but not all, of the lost revenue. Furthermore, there are questions about what new tariffs will go into effect after the Sec. 122 measures lapse this summer. Second, it appears increasingly likely that the Trump administration will be required to pay refunds to the businesses that originally paid the IEEPA tariffs, and this could add another $100–$150 billion to the FY 2026 budget deficit if they are paid out in the months ahead, as our base case forecast assumes. Third, a supplemental budget bill likely will be needed to replenish military munitions and provide other support to the military as it fights the ongoing Iran conflict. This bill could amount to $50–$100 billion of new spending, although that spending likely will be doled out over several years rather than all at once.

Monetary Policy & Interest Rates

- Despite the financial market volatility, we have not made any major forecast changes to our rate outlook. We still project two 25 bps rate cuts from the FOMC this year, and our year-end forecast for the 10-year Treasury yield is also unchanged at 4.25%.

Our U.S. rates forecast is generally unchanged, as we have not altered our outlook for the federal funds rate, and the move in the 10-year Treasury yield over the past couple weeks (3.93% on Feb. 27 right before the Iran conflict started to 4.13% as we went to print) has brought longer-term rates closer to where our February forecast update believed they would finish the quarter. The risks to our rates forecast look very two-sided. We think the risks to our fed funds rate forecast are skewed toward later and/or less easing, and this would argue for modestly higher rates than we currently project, especially at the short and intermediate end of the yield curve. However, should the tail risk of a U.S. recession materialize, much deeper rate cuts could be possible down the road.

Source: U.S. Department of the Treasury, U.S. Department of Commerce and Wells Fargo Economics

Source: U.S. Department of the Treasury and Wells Fargo Economics

Net Exports

- We've marginally lowered our import growth forecast this year amid a slower consumer spending profile, but our overall expectations remain broadly similar to last month, as we still expect the trade deficit to widen over the course of the year.

U.S. international trade flows remain volatile as importers heavily curtailed imports last year in the wake of tariff uncertainty. The Court of International Trade (CIT) ruled that all tariffs paid under the International Emergency Economic Powers Act (IEEPA) must be refunded and the Customs Protection Bureau (CPB) said they should be able to have a system operational by mid- to late-April. We assume a majority of the $167B in refunds are paid out in late-Q2 and Q3, which may be profit-margin protecting for some firms, but is unlikely to have a stimulative effect on growth. We assume tariffs remain in effect around current levels throughout our forecast horizon, with the administration using other statutes to reimpose tariffs once the 150 days under Sec. 122 expire. Trade flows should begin to normalize as the year progresses, resulting in a widening in the U.S. international trade deficit.

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All estimates/forecasts are as of 3/11/2026 unless otherwise stated. 3/11/2026 6:00:00 EDT.

Required Disclosures

Economics

February 18, 2026

U.S. Economic Outlook: February 2026

Monthly

Summary

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March Rate Cut Unlikely Amid Signs of Labor Market Stabilization

- We have not made any significant changes to our economic growth forecast. Recent data reinforce our view that real GDP growth remains on a solidly positive trajectory, largely reflecting sturdy consumer spending and a strengthening rate of business investment. Looking ahead, we continue to foresee an above-consensus pace of real GDP growth for 2026 with expansionary fiscal policy, less restrictive monetary policy, robust AI investment and reduced economic policy uncertainty.

- Labor market conditions remain far from energetic, yet recent months' data have shown signs of stabilization. Against a backdrop of solid economic growth, we continue to see a modest pick-up in hiring as the year progresses and look for nonfarm payroll growth to average 70K per month in 2026. Firming job growth should help to keep the jobs market roughly in balance and leave the unemployment rate at 4.3% in Q4-2026.

- The inflation data continue to come in somewhat cooler than expected as moderating services prices partially offset a tariff-related lift to goods costs. We suspect the inflationary impulse from tariffs has yet to transmit fully through supply chains and forecast the core PCE deflator to tick up to 2.9% year-over-year in Q1. Further out, we look for a disinflationary trend to resume and anticipate the average year-over-year rate on the core PCE deflator to fall to 2.6% in Q4-2026 and 2.3% in Q4-2027.

- We have made a minor change to our monetary policy outlook. In our view, the recent stabilization in the labor market significantly lowers the likelihood of a March rate cut. However, additional cuts later this year are still on the table given the more benign inflation outlook. We still see two more 25 bps cuts this year, but now look for the reductions to occur at the June and September FOMC meetings. Given our generally constructive forecasts for the labor market and inflation, we acknowledge the balance of risks remain tilted toward fewer rate reductions this year.

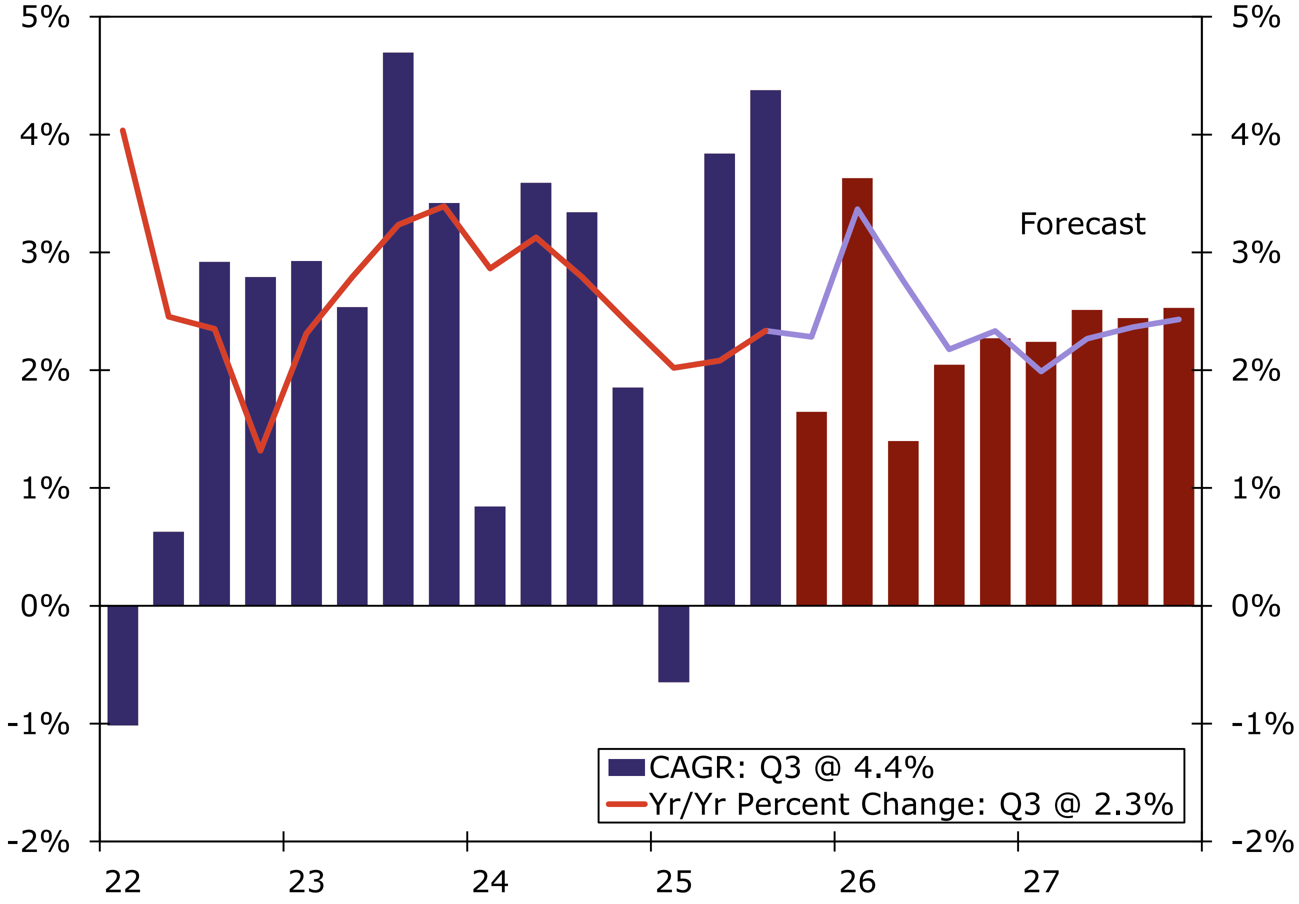
March Rate Cut Unlikely Amid Signs of Labor Market Stabilization

Recent economic data suggest real GDP growth remains on a positive trajectory. We first note that the effects of recent changes to trade policy and last year's federal government shutdown continue to inject a considerable amount of noise into the economic data. For example, government purchases look set to weigh on overall real GDP growth during Q4-2025 and then boost growth in Q1-2026, a fluctuation which largely reflects the 43-day government shutdown last October and November. What's more, surging gold exports and changing trade flows resulting from heightened tariff-policy uncertainty are creating an unusual degree of uncertainty in estimates of net exports and inventories.

Through the volatility, however, the U.S. economy appears to be expanding solidly thanks to a sturdy pace of consumer spending, a trend we expect to continue. The latest retail sales data showed a flat pace of spending in December, with control group sales declining slightly at year-end. The disappointing December data was not entirely unexpected and mostly reflects sales being pulled forward on account of tariffs, early discounts and gift card substitution.

Ultimately, the trend in retail sales has moderated but broader measures of consumer spending that include a more complete view of services spending, and thus better capture the full picture of household spending, are showing more resilience. For instance, real personal spending was up 2.6% year-to-year in November, which suggests households are still spending despite moderating real income growth and softer labor market conditions. Although a moderation in these fundamental spending drivers are concerning, we remain generally optimistic on the consumer segment in the year ahead, with a lift in after-tax income provided by the One Big Beautiful Act serving as a major impetus. Easier monetary policy, both directly from lower consumer interest rates and indirectly from more stable labor market conditions, are additional support factors.

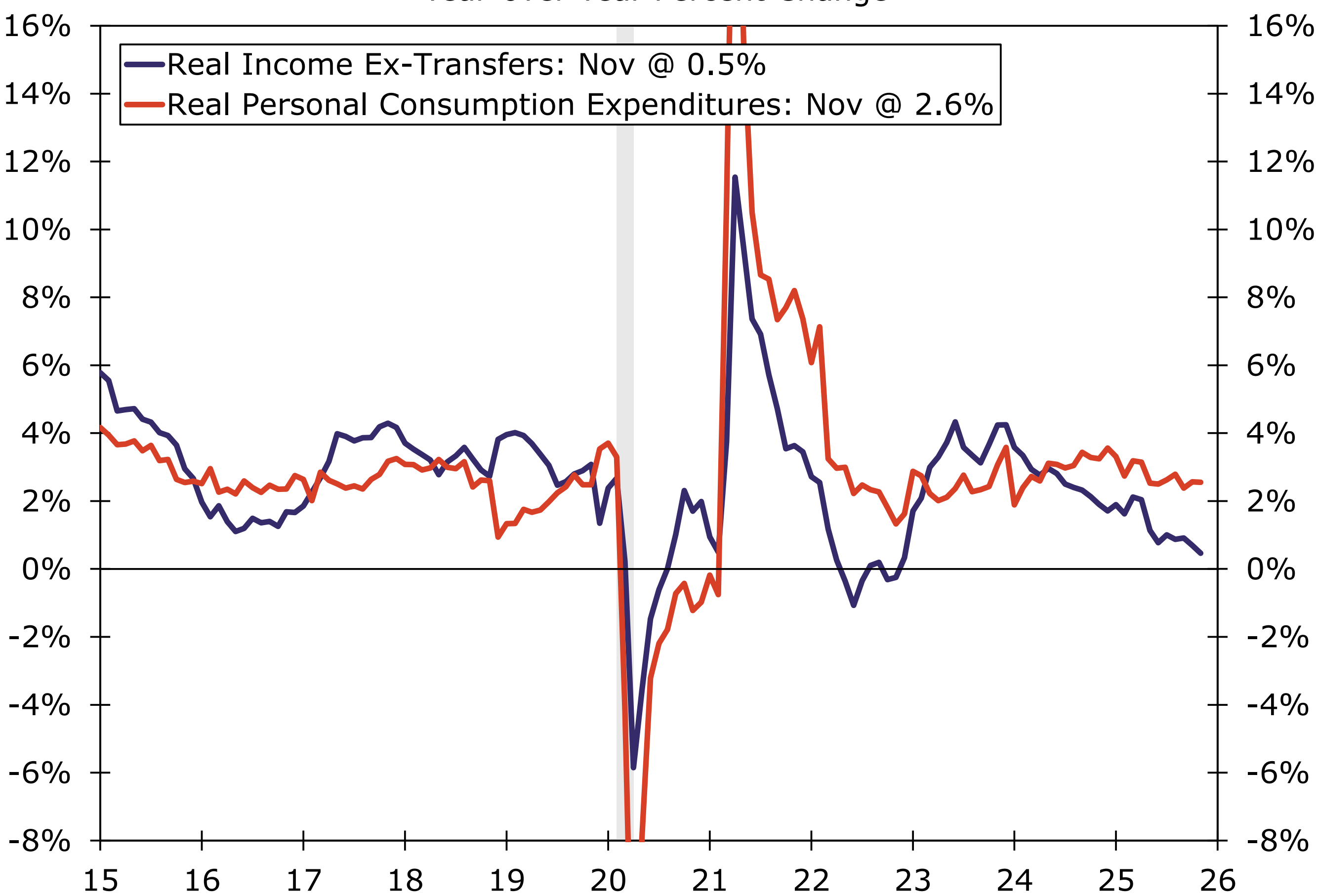
U.S Real GDP Growth



Source: U.S. Department of Commerce and Wells Fargo Economics

Income vs. Spending

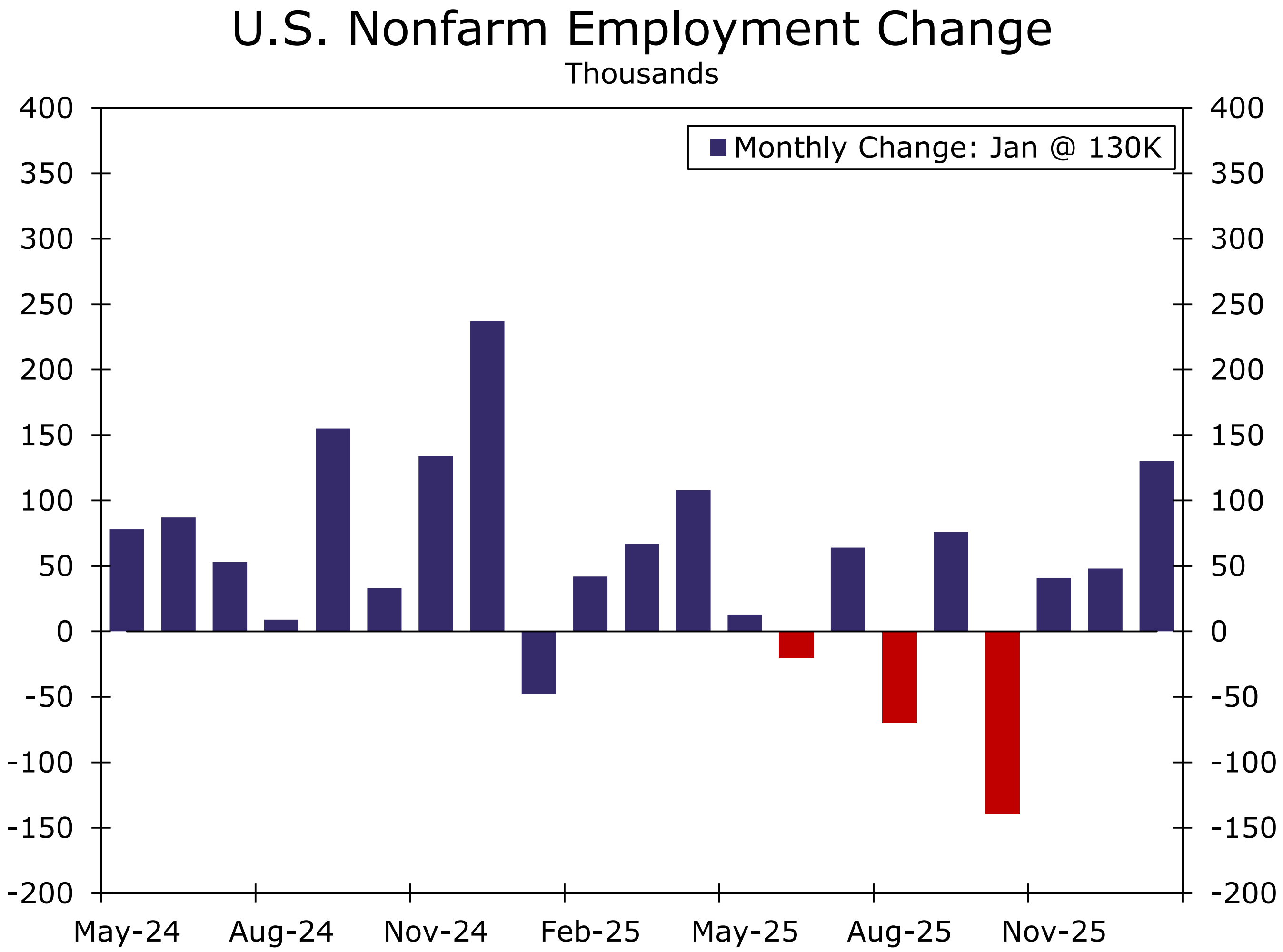
Year-over-Year Percent Change



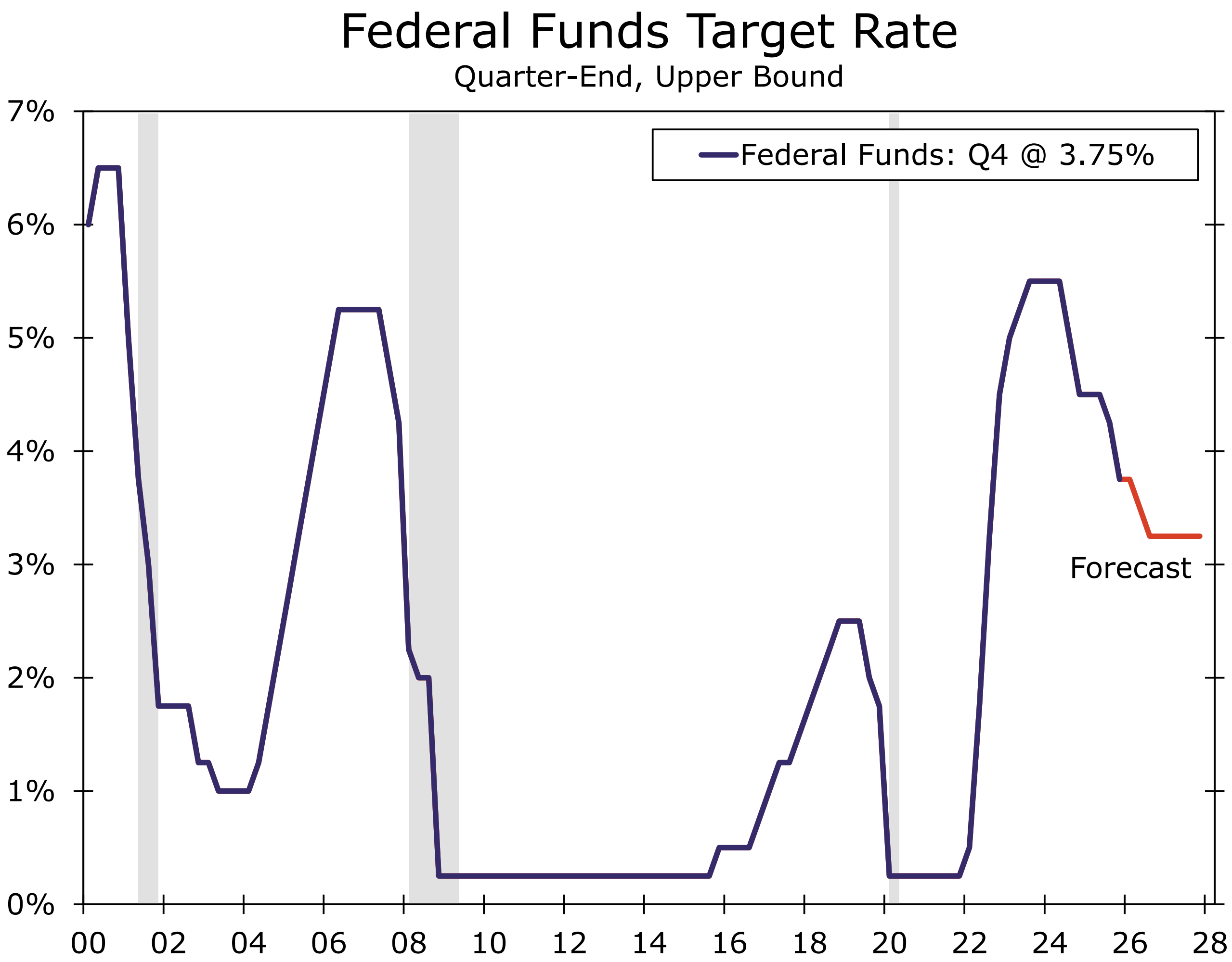
Source: U.S. Department of Commerce and Wells Fargo Economics

Less restrictive monetary policy should also help business investment gain broader traction. Core durable goods orders look to have ended 2025 with momentum in large part due to significant new AI-capital spending. However, a recent pick-up in "old line" categories such as fabricated metals and machinery suggests capital spending is starting to broaden beyond expenditures related to the AI build-out. What's more, January's surprising jump in the ISM manufacturing index, though perhaps overstated by year-end quirks, adds further evidence that a wider array of firms is starting to ratchet up spending plans against a backdrop of increased economic policy visibility, favorable tax changes and lower capital costs. As such, business fixed investment looks poised to expand solidly over the next several quarters.

We also anticipate that a lower fed funds rate will lend needed support to the labor market. At present, labor market conditions remain generally sluggish. In the final months of 2025, employment growth was essentially flat with new jobs highly concentrated in the healthcare industry. Payroll growth improved a bit in January, but another drop in job openings and continued easing in labor cost growth tempers any optimism that a material acceleration is in the offing. Still, the unemployment rate has ticked lower over the past two months, which suggests that conditions are starting to stabilize. We expect these sluggish-yet-stable conditions to persist in the first half of the year but see a modest pick-up in employment growth and gradual tick lower in the unemployment rate as the year progresses alongside supportive monetary and fiscal policy.



Source: U.S. Department of Labor and Wells Fargo Economics



Source: Federal Reserve Board and Wells Fargo Economics

Meanwhile, the inflation data continue to be generally encouraging. The core CPI eased to 2.5% on a year-ago basis in January, the softest reading since March 2021. Core PCE inflation looks to have been stronger around the turn of the year, but should show clearer improvement over 2026. The disinflationary trend in services seems likely to continue given the sluggish state of the labor market, contained energy prices and ongoing moderation in shelter costs. That said, we suspect the inflationary impulse from tariffs has yet to transmit fully through supply chains. We forecast the core PCE deflator to remain just under a 3% year-over-year rate in Q1. Further out, we look for a disinflationary trend to resume and anticipate the average year-over-year rate on the core PCE deflator to fall to 2.6% in Q4-2026 and 2.3% by Q4-2027.

We have made a minor change to our monetary policy outlook. In our view, the recent stabilization in labor market conditions significantly lowers the likelihood of a March rate cut. Downside risks stemming from the labor market have diminished but not completely disappeared. This leaves additional cuts later this year still on the table, especially given the more benign inflation outlook. We still see two more 25 bps cuts in 2026, but we now look for the reductions to occur at the June and September FOMC meetings. Given our generally constructive forecasts for the labor market and inflation, we acknowledge the balance of risks remain tilted toward fewer rate reductions this year.

U.S. Forecast Table

Wells Fargo U.S. Economic Forecast	Actual								Forecast								Actual	Forecast		
	2024				2025				2026				2027				2024	2025	2026	2027
	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q				
Real Gross Domestic Product (a)	0.8	3.6	3.3	1.8	-0.6	3.8	4.4	1.6	3.6	1.4	2.0	2.3	2.2	2.5	2.4	2.5	2.8	2.2	2.7	2.3
Personal Consumption	1.7	3.9	4.0	3.9	0.6	2.5	3.5	2.7	1.8	2.4	2.3	2.2	1.8	2.2	2.3	2.2	2.9	2.7	2.4	2.1
Business Fixed Investment	1.5	2.5	3.5	-3.7	9.5	7.3	3.2	2.6	5.8	5.9	4.9	3.6	5.2	6.1	4.6	5.1	2.9	4.1	4.7	5.0
Equipment	0.5	8.9	8.2	-4.3	21.4	8.5	5.3	3.7	10.2	8.3	5.8	2.9	4.6	6.0	4.9	4.0	3.5	8.3	6.9	4.9
Intellectual Property Products	6.7	0.7	2.6	-0.6	6.5	15.0	5.6	4.4	5.2	5.3	5.1	4.4	6.4	7.1	4.5	6.4	3.5	5.6	5.6	5.7
Structures	-5.0	-3.9	-2.2	-8.1	-3.1	-7.5	-5.0	-4.3	-2.1	1.7	2.4	3.4	3.6	3.9	4.0	4.2	1.1	-5.1	-1.7	3.4
Residential Investment	8.2	-2.0	-4.8	4.3	-1.0	-5.1	-7.1	-4.6	-4.2	-3.5	1.5	2.9	3.7	3.9	4.2	4.4	3.2	-2.4	-3.5	3.0
Government Purchases	2.3	3.3	5.4	3.3	-1.0	-0.1	2.2	-7.0	12.3	-1.6	0.6	0.8	1.2	1.2	1.3	1.3	3.8	1.0	1.7	0.9
Net Exports	-964.1	-1032.2	-1064.9	-1069.0	-1380.7	-1058.0	-955.5	-912.7	-970.3	-993.7	-1010.2	-1033.3	-1052.1	-1070.3	-1088.5	-1103.4	-1032.6	-1076.7	-1001.9	-1078.6
Pct. Point Contribution to GDP	-0.4	-1.0	-0.4	-0.1	-4.7	4.8	1.6	0.7	-1.0	-0.4	-0.3	-0.4	-0.3	-0.3	-0.3	-0.2	-0.5	-0.2	0.3	-0.3
Inventory Change	12.4	75.1	69.4	17.1	172.0	-18.3	-23.9	-21.7	19.5	-1.5	-12.7	9.7	20.2	21.0	27.0	35.2	43.5	27.0	3.7	25.9
Pct. Point Contribution to GDP	-0.8	1.2	-0.1	-0.9	2.6	-3.4	-0.1	0.0	0.7	-0.3	-0.2	0.4	0.2	0.0	0.1	0.1	0.0	-0.1	-0.1	0.1
Nominal GDP (a)	4.0	6.3	5.1	4.3	2.9	6.0	8.3	4.5	6.9	3.9	4.3	4.5	4.6	4.8	4.7	4.7	5.3	5.0	5.5	4.6
Real Final Sales	1.7	2.4	3.5	2.8	-3.2	7.5	4.5	1.6	2.9	1.7	2.2	1.9	2.1	2.5	2.3	2.4	2.8	2.3	2.8	2.2
Retail Sales (b)	1.8	2.5	2.3	3.9	4.5	4.3	4.4	3.0	3.2	3.2	2.3	2.5	2.4	2.3	2.2	2.1	2.6	4.0	2.8	2.2
Inflation Indicators (b)																				
PCE Deflator	2.8	2.7	2.4	2.6	2.6	2.4	2.7	2.8	2.7	2.8	2.6	2.5	2.3	2.2	2.2	2.2	2.6	2.6	2.7	2.2
"Core" PCE Deflator	3.1	2.8	2.8	3.0	2.8	2.7	2.9	2.8	2.9	2.8	2.7	2.6	2.3	2.3	2.3	2.3	2.9	2.8	2.7	2.3
Consumer Price Index	3.2	3.2	2.7	2.7	2.7	2.5	2.9	2.7	2.5	2.8	2.6	2.6	2.5	2.3	2.3	2.3	3.0	2.7	2.6	2.3
"Core" Consumer Price Index	3.8	3.4	3.3	3.3	3.1	2.8	3.1	2.6	2.5	2.7	2.5	2.6	2.4	2.3	2.3	2.3	3.4	2.9	2.6	2.3
Producer Price Index (Final Demand)	1.5	2.6	2.2	3.1	3.5	2.5	3.0	2.9	2.6	3.2	2.6	2.4	2.1	2.2	2.2	2.1	2.4	3.0	2.7	2.2
Employment Cost Index	4.2	4.1	3.9	3.8	3.6	3.6	3.5	3.4	3.4	3.3	3.3	3.4	3.4	3.5	3.5	3.6	4.0	3.5	3.4	3.5
Real Disposable Income (a)	4.2	2.4	1.2	2.0	2.3	1.8	0.0	0.0	5.4	1.7	2.1	2.2	1.5	2.0	2.0	2.4	2.9	1.6	2.2	1.9
Nominal Personal Income (a)	7.6	5.4	3.6	4.9	6.4	4.3	3.3	3.2	4.3	4.2	4.4	4.5	4.5	4.3	4.2	4.5	5.6	4.7	3.9	4.4
Industrial Production (a)	-2.6	2.7	-2.3	-1.5	4.2	1.8	2.2	0.7	2.0	2.2	1.9	1.4	1.5	1.0	1.1	0.5	-0.7	1.3	1.8	1.4
Capacity Utilization	76.3	76.6	76.0	75.5	76.0	76.1	76.2	76.1	77.0	77.5	78.0	78.4	78.8	79.1	79.4	79.7	76.1	76.1	77.7	79.2
Federal Budget Balance (c)	-555	-209	-544	-711	-596	-30	-438	-602	-679	-144	-425	-584	-710	-154	-452	-649	-1817	-1775	-1850	-1900
Trade Weighted Dollar Index (d)	115.7	117.2	113.1	119.7	117.5	111.1	110.8	111.5	112.2	111.1	112.0	112.8	113.7	114.6	115.3	116.0	116.3	113.9	112.1	114.9
Nonfarm Payroll Change (e)	203	76	72	135	20	34	23	-17	77	52	70	78	78	72	70	66	122	15	69	72
Unemployment Rate	3.8	4.0	4.2	4.1	4.1	4.2	4.3	4.5	4.4	4.4	4.4	4.3	4.3	4.3	4.2	4.2	4.0	4.3	4.4	4.2
Housing Starts (f)	1.42	1.34	1.34	1.39	1.40	1.35	1.34	1.34	1.33	1.33	1.33	1.34	1.38	1.38	1.38	1.38	1.37	1.36	1.33	1.38
Light Vehicle Sales (g)	15.5	15.7	15.7	16.4	16.4	16.2	16.6	15.7	15.0	15.1	15.2	15.5	16.4	16.6	16.7	16.9	15.9	16.2	15.2	16.7
Crude Oil - Brent - Front Contract (h)	81.2	84.4	78.0	73.6	74.3	65.9	67.5	62.7	65.1	65.0	64.0	65.0	66.0	65.7	65.0	65.0	79.3	67.6	64.8	65.4
Quarter-End Interest Rates (i)																				
Federal Funds Target Rate (j)	5.50	5.50	5.00	4.50	4.50	4.50	4.25	3.75	3.75	3.50	3.25	3.25	3.25	3.25	3.25	3.25	5.27	4.33	3.44	3.25
Secured Overnight Financing Rate	5.34	5.33	4.96	4.49	4.41	4.45	4.24	3.87	3.65	3.40	3.15	3.15	3.15	3.15	3.15	3.15	5.15	4.24	3.34	3.15
Prime Rate	8.50	8.50	8.00	7.50	7.50	7.50	7.25	6.75	6.75	6.50	6.25	6.25	6.25	6.25	6.25	6.25	8.27	7.33	6.44	6.25
Conventional Mortgage Rate	6.82	6.92	6.18	6.72	6.65	6.82	6.35	6.20	6.10	6.15	6.15	6.15	6.15	6.20	6.20	6.20	6.72	6.60	6.14	6.19
3 Month Bill	5.46	5.48	4.73	4.37	4.32	4.41	4.02	3.67	3.60	3.35	3.15	3.15	3.15	3.15	3.15	3.15	5.18	4.21	3.31	3.15
6 Month Bill	5.38	5.33	4.38	4.24	4.23	4.29	3.83	3.59	3.50	3.30	3.20	3.20	3.20	3.20	3.20	3.25	5.00	4.09	3.30	3.21
1 Year Bill	5.03	5.09	3.98	4.16	4.03	3.96	3.68	3.48	3.40	3.35	3.30	3.30	3.30	3.30	3.35	3.40	4.69	3.91	3.34	3.34
2 Year Note	4.59	4.71	3.66	4.25	3.89	3.72	3.60	3.47	3.45	3.40	3.40	3.40	3.40	3.45	3.50	3.55	4.37	3.81	3.41	3.48
5 Year Note	4.21	4.33	3.58	4.38	3.96	3.79	3.74	3.73	3.65	3.65	3.65	3.70	3.70	3.75	3.80	3.80	4.13	3.92	3.66	3.76
10 Year Note	4.20	4.36	3.81	4.58	4.23	4.24	4.16	4.18	4.10	4.15	4.20	4.25	4.25	4.30	4.30	4.30	4.21	4.29	4.18	4.29
30 Year Bond	4.34	4.51	4.14	4.78	4.59	4.78	4.73	4.84	4.75	4.80	4.85	4.90	4.95	5.00	5.00	5.00	4.41	4.78	4.83	4.99

Forecast as of: February 18, 2026

Notes: (a) Compound Annual Growth Rate Quarter-over-Quarter
(b) Year-over-Year Percentage Change
(c) Quarterly Sum - Billions USD; Annual Data Represents FisBZl Year
(d) Federal Reserve Advanced Foreign Economies Index, 2006=100 - Quarter End
(e) Average Monthly Change
(f) Quarterly Data - Average Monthly SAAR; Annual Data - Actual Total Houses Started
(g) Quarterly Data - Average Monthly SAAR; Annual Data - Actual Total Vehicles Sold
(h) Quarterly Average of Daily Close
(i) Quarterly Data - Period End; Annual Data - Annual Averages
(j) Upper Bound of the Federal Funds Target Range

Source: U.S. Department of Commerce, U.S. Department of Labor, IHS Markit, Federal Reserve Board and Wells Fargo Economics

Forecast Delta Table

Source: U.S. Department of Commerce, U.S. Department of Labor, IHS Markit, Federal Reserve Board and Wells Fargo Economics

Personal Consumption Expenditures (PCE)

- The latest data suggest Q4 real PCE will come in at a 2.7% annualized clip, even if spending lost momentum in December, which we suspect it did. The growing disconnect between income and outlays would be a bigger concern for near-term household spending were it not for forthcoming tax relief.

The government shutdown resulted in a twofer" personal income and spending report with both October and November numbers dropping in late January. Real PCE rose 0.3% in both October and November, a stronger outcome than we anticipated. Spending expanded with broad-based strength across goods and services, signaling that consumption patterns are normalizing after a pull-forward in goods demand at the beginning of the year.

We are not counting on much of an increase in December, which puts our forecast for Q4 real PCE growth at a 2.7% annualized clip. Tax relief underpins prospects for increased spending in 2026. The One Big Beautiful Bill Act should boost tax refunds this season and reduce household tax liabilities more broadly. At the same time, easing inflation and modest improvement in job growth this year should provide more fundamental support to income growth.

Investment: Equipment, Intellectual Property Products and Inventories

- Our outlook for business fixed investment on equipment and intellectual property products remains more or less intact from our prior forecast.

Underlying orders activity continues to show signs of a modest rebound and gradual broadening. Durable goods orders outside transportation rose 0.9% in December, extending a trend driven largely by tech-related categories such as electrical equipment and computers & electronic components.

Encouragingly, more traditional categories also saw some traction, with gains in fabricated metals (+0.9%) and machinery (+0.3%). This is consistent with our narrative that high-tech investment remains the primary driver of spending this year, while favorable tax changes provide modest support to traditional equipment investment around the edges. After what we expect to be the third-consecutive quarter of drawdown in Q4, we see a modest inventory build in the first quarter, though we acknowledge there is risk around the size and, therefore, magnitude of the boost to Q1 GDP growth.

Source: U.S. Department of Commerce and Wells Fargo Economics

Source: U.S. Department of Commerce and Wells Fargo Economics

Investment: Residential

- We have made modest downward revisions to our residential investment forecast. Although mortgage rates have not rebounded since dropping to roughly 6.1%, we do not expect them to fall any further, which will likely discourage residential investment over the next few quarters.

Housing market activity remains subdued. New home sales improved somewhat last fall against a backdrop of sliding mortgage rates. That said, single-family builders remain broadly pessimistic amid elevated inventory levels and challenging demand conditions. Declining building permits are a main signal, foretelling a slower pace of single-family construction over the next year. Healthier economic growth should be a support factor in 2027. However, prospects for a full demand recovery appear unlikely given our expectation for mortgage rates to remain between 6.1% and 6.2% over the next couple of years. Meanwhile, multifamily permits have essentially moved sideways, suggesting that high materials costs and elevated vacancy rates remain notable constraints on apartment development.

Investment: Nonresidential Structures

- We have not meaningfully revised our outlook for nonresidential structures. While data center construction continues to stand out, growth is slowing, and elevated interest rates are still weighing heavily on most other areas of private nonresidential spending.

Elevated financing costs remain a significant headwind for structures investment. Monthly figures suggest that construction remains weak across most nonresidential segments. Construction outlays on manufacturing, warehouse and other commercial projects continue to ease, while growth in data center investment is slowing from recent highs. Forward-looking indicators such as the Architecture Billings Index also signal weakness, showing a muted pace of new inquiries and uptick in delayed or canceled projects. The lagged effects of easier monetary policy should support a rebound in structures spending next year, although those effects will only materialize gradually.

Source: Freddie Mac and Wells Fargo Economics

Source: U.S. Department of Commerce and Wells Fargo Economics

Labor Market

- We have not meaningfully altered the contours of our labor market forecast this month. We expect nonfarm payroll growth to average around 70K per month in 2026, up from a 15K pace in 2025.

The labor market remains sluggish, but recent data offer some tentative signs of stabilization. The three-month pace of job growth rose to 73K in January, its strongest pace since February 2025. The pickup suggests labor demand is improving, which has been reflected in the unemployment rate edging down over the past two months. That said, job creation remains concentrated in just a few industries. We expect nonfarm payroll growth to run closer to a 50K pace in the next six months and for the unemployment rate to tick back up to 4.4%. As the benefits of less policy uncertainty and more supportive monetary and fiscal policy work their way through the economy, we look for job growth to firm to around a 75K monthly clip in the second half of 2026. That gradual strengthening should help pull the unemployment rate back down to 4.3% by the end of the year, putting it back at the upper end of the range most Fed officials view as consistent with full employment.

Inflation

- Inflation continues to gradually moderate. We have maintained our estimate for core PCE inflation to slow 2.6% year-over-year in the fourth quarter of 2026.

The cooler inflation trend illustrated by the January CPI shows that price growth, while still elevated, remains contained. Delayed pass-through of tariff costs should keep core goods inflation elevated through the first half of the year as suppliers renegotiate contracts and firms rebuild inventories. At the same time, fiscal and monetary policy tailwinds are set to bolster household demand. Yet the disinflationary impulse from the normalization of services inflation, including housing, as well as the sluggish labor market should keep core PCE on track to subside from ~3% at present to 2.6% year-over-year in Q4-26. Solid productivity growth and waning tariff effects should allow inflation continue to edge down through 2027, though we expect progress toward 2% to remain gradual.

Source: U.S. Department of Labor and Wells Fargo Economics

Source: U.S. Department of Commerce and Wells Fargo Economics

Fiscal Policy

- The federal government is funded through September 30 except for the Department of Homeland Security. Macroeconomic disruptions from the current partial government shutdown should be minimal, and the BLS and BEA have been funded, so we expect no additional economic data delays for the foreseeable future.

- We have nudged down our budget deficit forecasts to $1.85 trillion for FY 2026 (5.8% of GDP) and $1.90 trillion for FY 2027 (5.7%).

Congress has passed and the president has signed 11 of the 12 annual appropriation bills for FY 2026. This ensures that, for most government agencies including the BLS and BEA, the risk of another shutdown has been removed through September 30. The exception is the Department of Homeland Security. From a macroeconomic impact standpoint, the Homeland Security bill accounts for just 5% of the annual appropriations process, so the hit to economic activity from the partial shutdown should be quite small.

Over the medium term, our projections for the fiscal outlook have not changed much. The Congressional Budget Office recently published its latest 10-year budget and economic outlook, and CBO's 2035 debt-to-GDP ratio projection was very similar to the projection it made in January 2025 despite all the policy upheaval of the past 12 months. There were new policies that caused deficit widening over the long run (the One Big Beautiful Bill Act, tighter immigration enforcement) and offsetting policies that are driving deficit narrowing (stronger economic growth, much higher tariff revenues). On balance, we do not feel materially different about the long run U.S. fiscal outlook than we did one year ago: no longer getting worse, but still unsustainable.

Monetary Policy & Interest Rates

- Our base case forecast remains for two 25 bps rate cuts this year from the FOMC. We have pushed back the timing of these cuts, however, from the March and June FOMC meetings to June and September. If realized, this would put the terminal fed funds rate at 3.00%-3.25%.

- Our 2026 year-end forecast for the 10-year Treasury yield remains unchanged at 4.25%.

Our expectation that the FOMC will cut the fed funds rate by 50 bps this year remains unchanged from our previous forecast. We expect future Chair Warsh and the Committee to agree to move monetary policy a bit closer to their estimate of neutral in response to still tepid job growth and gradually slowing inflation. That said, we continue to think the window is closing for additional rate cuts. If the labor market stabilizes in the coming months from easier fiscal/monetary/trade policy, the pressure on the Committee for additional rate cuts may recede, and the FOMC may be more willing to stand pat and upwardly adjust their estimates of the longer run neutral rate.

Source: Congressional Budget Office and Wells Fargo Economics

Source: Federal Reserve Board and Wells Fargo Economics

Net Exports

- Net exports should remain a fairly volatile force on headline GDP growth over the next couple of quarters, but the story under the surface continues to be one of a gradual widening in the international trade deficit.

We have not materially adjusted our forecast for net exports in this update. The monthly trade data are tracking for net exports to boost Q4 GDP growth, although the 0.7 percentage point boost we have penciled in is lower than our last update. More broadly, we still expect the international trade deficit to widen gradually over the next couple of months as imports pick up amid leaner inventories and continued domestic demand.

This Month's Economic Calendar

Source: Bloomberg Finance L.P., Federal Reserve System, U.S. Department of Labor, U.S. Department of Commerce, Institute for Supply Management, Conference Board and Wells Fargo Economics

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All estimates/forecasts are as of 2/18/2026 unless otherwise stated. 2/18/2026 9:28:44 EST.

Required Disclosures